

China's political and economic outlook

送信者: EG China 受信日時: 2026-08-19 01:08

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Conference Call Note

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18 Aug 2026 12:02 EDT Listen to the recording

Short-term trajectory:

Long-term trajectory:

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EG cuts its optimistic US-China outlook for 2026 from 80% to 70%, raising the breakdown scenario from 20% to 30%, driven primarily by US alarm over China's rapid AI model development.

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Xi's Washington visit remains the base case, but summit planning is described as poorly organized; deliverables will likely be limited to reaffirmations, purchase pledges, and a Busan truce extension.

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China's domestic economy has no credible near-term consumption recovery; housing won't bottom until 2030, and fiscal policy will be contractionary through 2029 as debt resolution takes priority over stimulus.

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Speakers:

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David Meale, Practice Head for China, Eurasia Group

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Dan Wang, China Director, Eurasia Group

US-China Relations: Modest Deterioration in Outlook

EG has marginally downgraded its US-China outlook. The base case — continued implementation of the Busan deal, Xi visiting Washington in September, and possible leader meetings at APEC (November) and G20 (December) — holds at 60%, with an additional 10% chance of things going better than expected. The breakdown risk has risen from 20% to 30%.

The primary driver is US concern about China's AI model capabilities. Since Trump's May Beijing visit, Washington has grown more alarmed at the pace of Chinese AI development and is actively considering new measures — potentially restricting access to Chinese models, limiting government procurement near those models, or other actions. EG does not expect dramatic US action before the Xi visit, but considers new AI-related restrictions a possibility before year-end. How far the US goes and how China responds is the key variable for whether the relationship holds.

Secondary irritants include: the FCC (Federal Communications Commission) restricting drone, robot, and electronic equipment imports and reportedly moving to block optical transceiver imports for data centers; and the US adding 43 new entities to the Uyghur Forced Labor Protection Act (UFLPA) list the day after the Bessant-He Lifeng meeting in late July — timing the Chinese side viewed as bad faith.

Xi's Washington Visit: Base Case Holds, Execution Is Messy

The visit is expected to proceed. However, Chinese counterparts are described as frustrated by the lack of US energy, proactivity, and clarity on deliverables and optics. A senior MFA (Ministry of Foreign Affairs) official reportedly visited three weeks prior to resolve logistics and deliverables, with limited effect.

Likely outcomes:

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Reaffirmations of constructive strategic stability framework

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Pledges on Chinese purchases; watch aviation and agriculture

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Work plans for the Board of Trade and AI Working Group; possible AI Working Group meeting before the summit

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Fentanyl law enforcement cooperation progress

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Extension of the Busan tariff truce — duration uncertain

Less likely but possible:

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Rollback of recent retaliatory measures (e.g., FCC actions, Chinese like-for-like responses)

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Further clarity on the US arms sales pause to Taiwan

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Token progress on military contacts

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Meaningful Board of Investment mandate (current indications suggest little progress on specifics)

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Chinese CEOs accompanying Xi, potentially mirroring the US CEO delegation to Beijing earlier this year

China's Expanding Economic Coercion Toolkit

China is actively building and deploying a broader retaliatory arsenal. Beyond rare earths, EG tracks approximately 300 intermediate goods — roughly 10% of all intermediate goods tracked, a number rising at approximately 10% — where China holds a 50%+ market share. Control over these upstream and midstream inputs affects producers rather than consumers directly, creating a delayed effect that serves as a potent deterrent signal.

The EU is the clearest current example of signaling and counter-signaling. Chinese exports are displacing EU producers in autos, chemicals, machinery, and other areas. An October deadline for bilateral resolution was set at last month's ministerial-level meeting, but EG views resolution as unlikely. China is not acknowledging EU concerns about state subsidies or overcapacity and is described as increasingly dismissive, in part because Chinese officials believe Europe lacks the fiscal capacity to build alternative supply chains. Japan represents a more aggressive Chinese posture, attributed in part to Prime Minister Takaichi's public statements on Taiwan.

Domestic Economy: Structural Constraints, No Pivot

China's economy is tracking toward the lower bound of its 4.5–5% growth target. Policy officials are described as comfortable with this trajectory and not inclined to deploy major stimulus. Their stated confidence rests on two pillars: continued export momentum and import substitution as a driver of domestic demand.

The housing market — down 30–50% from its 2021 peak and still declining — is not expected to reach a new equilibrium until 2030. No fiscal allocation exists in the 15th Five Year Plan (FYP) to support the sector. Because housing-linked consumption accounted for roughly half of the pre-2019 consumer basket, a consumer recovery is structurally blocked until housing stabilizes. Autos, particularly EVs, are the only sector identified as a potential partial substitute.

Deflationary pressure continues: CPI remains negative, PPI has turned marginally positive. The People's Bank of China (PBOC) is unlikely to loosen monetary policy in any major way, prioritizing commercial bank health and currency stability. Fiscal policy will be contractionary through 2029 as the central government enforces a national balance sheet covering all government entities, local SOEs, and Local Government Financing Vehicles (LGFVs) by that date. A new expansionary business cycle is anticipated in the 16th FYP period — post-2030.

Political Calendar: Stability Over Reform Through 2027

The 21st Party Congress cycle dominates the political backdrop through 2027. The fifth plenum in October 2026 will focus on party discipline, ideology, and anti-corruption — not economic policy. Xi is widely expected to seek a fourth term. The overriding priority is a smooth power transition; no politically sensitive reforms (e.g., property tax) are expected. Stability explicitly outranks job creation despite what Dan Wang described as the weakest labor market in four decades.

Key Watch Items

1.

US AI restrictions: Scope and timing of any new US measures targeting Chinese AI models or government procurement — and Beijing's response — is the primary breakdown trigger before

year-end.

2.

Xi Washington summit deliverables: Whether the US side organizes around concrete deliverables in the coming weeks; watch for a pre-summit Bessant-He Lifeng meeting as a signal.

3.

Busan truce extension: Duration and terms of any extension; failure to extend would be a significant negative signal with implications beyond bilateral tariffs, including critical mineral export controls.

4.

China-EU October deadline: Whether the bilateral trade framework talks produce any resolution; failure is the base expectation and would activate China's retaliatory toolkit more broadly.

5.

Rare earth export flows: Current indications suggest China continues to slow-walk approvals and resist stockpiling; monitor for any public commitment to improve flows out of the summit.

6.

China fiscal data through 2029: Track fixed asset investment, infrastructure approvals, and LGFV borrowing as indicators of how aggressively the debt consolidation mandate is being enforced.

What Clients Are Asking

China-EU structural trade tension: Clients asked whether the China-EU surplus is primarily a displacement story rather than a net increase. The speakers acknowledged the nuance but argued the politically operative issue is EU member state sensitivity to Chinese penetration in industrially strategic sectors — autos, batteries, chemicals — not the headline surplus figure alone. Dan Wang assessed the underlying conflict as essentially unresolvable in the near term given China's unwillingness to rebalance toward consumption and its refusal to acknowledge overcapacity.

Xi's tenure and political succession: Clients asked whether Xi intends to rule for life. David Meale stated the default assumption is that Xi is healthy, in control, and expected to secure a fourth term at the 2027 Party Congress. Whether he intends to remain beyond that is genuinely unknown.

Transshipment and rules-of-origin enforcement: Clients flagged reports of a US review led by Peter Navarro that examined elements of transshipment-related trade across roughly 40 countries. Dan Wang assessed this as less acute than a year ago; with effective tariff rates now expected at 30–40%, many Chinese producers have retreated from third-country routing back to direct China-based operations, as the cost advantage of transshipment has narrowed.

Reversibility of trade and tech restrictions: Clients asked whether the accumulating bilateral measures can be unwound. David Meale said yes in principle — the Busan truce demonstrated the mechanism — but noted that current US-side planning on deliverables is insufficiently developed to expect specifics at the summit. He added that China appears to deliberately design its countermeasures with reversibility built in, contingent on reciprocal unwinding.

China AI diffusion and open-source models: Clients asked about Xi's stated commitment to AI diffusion. Dan Wang clarified that Xi's position is about spreading Chinese AI products globally, not open-sourcing or sharing frontier models. China is described as highly protective of its strategic AI assets and unlikely to give them away.

Please note that while this AI-generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

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